

JPM EUR High Yield Bond Active UCITS ETF

Tickers: JEHY, JEYH

Topline

Monthly returns	
Fund	Benchmark
▲ 0.37%	▲ 0.30%
Benchmark : ICE BofA Euro Developed Markets High Yield Constrained Index	
Markets European high yield (EHY) posted a return of 0.30% in August. The benchmark's option-adjusted spread tightened by 9bps to 256bps, and its yield-to-worst remained unchanged at 5.65%.	
Helped Credit selection within the Retail sector.	
Hurt Credit selection in the Utility sector.	
Outlook We expect that technicals will be more challenged in September given the seasonal uptick in primary issuance, but yields above 5.5% should help to attract demand for the asset class.	

Past performance and forecast is not a reliable indicator of current and future results.

Fund Overview

Investment objective

The objective of the Sub-Fund is to achieve a long-term return in excess of the Benchmark by actively investing primarily in a portfolio of EUR-denominated below investment grade corporate debt securities.

Trading information

Stock exchange	Exchange ticker	Trading currency	Bloomberg ticker	Reuters RIC	Sedol
London Stock Exchange	JEHY	EUR	JEHY LN	JEHY.L	BQB7X80
SIX SWISS	JEHY	EUR	JEHY SW	JEHY.S	BQFJXV5
Deutsche Borse	JEYH	EUR	JEYH GY	JEYH.DE	BQFJXW6
Borsa Italiana	JEHY	EUR	JEHY IM	JEHY.MI	BQFJXX7

Month in Review

- **The ETF returned 0.41%, outperforming its benchmark** by 11bps over the period (gross of fees, arithmetic excess returns).
- **The top contributor to performance** in August was credit selection within the Retail sector, particularly due to our overweight to British supermarket chain Asda, our avoidance of German meal-kit provider HelloFresh and our off-benchmark allocation to British pub chain Punch Pubs.
- **Our overweight allocation to the Banking sector** was the second-greatest contributor to performance, particularly due to our off-benchmark exposures to Banco Santander, AIB and CaixaBank.
- **Credit selection in the Utility sector** was the top detractor from August's performance, led by our overweight to energy distributor UGI International and our non-involvement in Greek energy company Metlen.
- **Our underweight to the Consumer Goods sector** was the second-greatest detractor from the fund's performance, largely as a result of our avoidance of sugar refiner Tereos and Dutch domestic appliances producer Versuni (formerly Philips Consumer Lifestyle). Our underweight exposure to Dutch margarine producer Flora Food Group was also disadvantageous.

Looking Ahead

- **European public companies' earnings** were strong in Q2, with more challenged sectors, such as autos, benefitting from cost-cutting measures in the face of higher macro uncertainty.
- **While record issuance from AI hyperscalers** has started to worry the US credit market, the relative scarcity of such issuance in Europe could prove to be a fundamental support to the EHY's market's overall credit quality should the business case for AI fail to live up to expectations.
- **EHY valuations remain** full from a spread perspective. In fact, BB spreads are near 10-year tights, with a significant portion of this cohort trading inside 100bps. At the same time, a sizeable portion of the single-B market is trading inside 200bps.
- **A relatively small handful of distressed credits**, most of which are rated CCC and lower, is responsible for making spreads more optically appealing.
- **With all-in yields having moved higher**, with duration remaining low, EHY has been a relatively safe haven from interest-rate volatility within fixed income markets.

Opinions, estimates, forecasts, projections and statements of financial market trends are based on market conditions at the date of the publication, constitute our judgment and are subject to change without notice. There can be no guarantee they will be met.
All data is sourced by J.P. Morgan Asset Management and is correct as at the date of this commentary.

Performance and positioning

%	1M	3M	6M	YTD	1Y	Since inception
Fund	0.37	0.53	0.67	1.81	2.98	4.07
Benchmark	0.30	0.58	0.86	1.84	2.89	3.92
Excess return (geometric)	0.08	-0.04	-0.19	-0.04	0.09	0.14

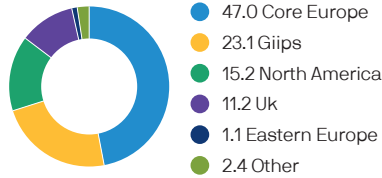
%	2025
Fund	5.31
Benchmark	5.02
Excess return (geometric)	0.28

Past performance and forecast is not a reliable indicator of current and future results.
Source: J.P. Morgan Asset Management. Share class performance is shown based on the NAV (net asset value) of the share class with income (gross of shareholder tax) reinvested including actual ongoing charges excluding any entry and exit fees. Performance over one year is annualised. Performance is shown based on the NAV which may not be the same as the market price of the ETF. Individual shareholders may realize returns that are different to the NAV based returns. Share class inception date is 10.12.2024.

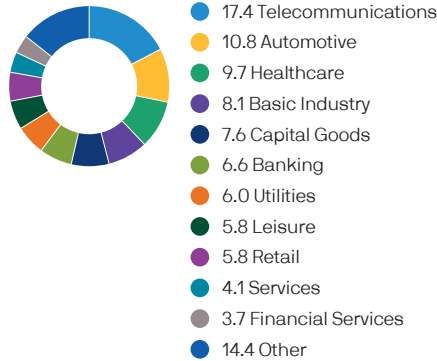
Holdings

TOP 10	Coupon rate	Maturity date	% of assets
Bayer Aktiengesellschaft	6.63	25/9/83	2.1
Electricite de France	5.13	30/9/76	1.4
Government of Italy	2.20	28/2/28	1.0
Schaeffler Group	5.38	1/4/31	0.9
Telefonica	6.14	30/9/76	0.9
Mundys	4.50	24/1/30	0.9
EDP	4.63	16/9/54	0.9
VodafoneZiggo	2.88	15/1/29	0.8
ZF Friedrichshafen	7.00	12/6/30	0.8
Vodafone	8.00	30/8/86	0.8

Country breakdown (%)



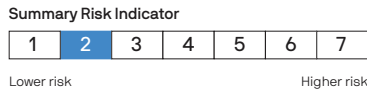
Sector breakdown (%)



RISK PROFILE

The value of your investment may fall as well as rise and you may get back less than you originally invested. The value of debt securities may change significantly depending on economic and interest rate conditions as well as the credit worthiness of the issuer. Issuers of debt securities may fail to meet payment obligations or the credit rating of debt securities may be downgraded. These risks are typically increased for below investment grade debt securities which may also be subject to higher volatility and lower liquidity than investment grade debt securities. Convertible bonds are subject to the credit, interest rate and market risks associated with both debt and equity securities and to risks specific to convertible securities. Convertible bonds may also be subject to lower liquidity than the underlying equity securities. Contingent convertible debt securities are likely to be adversely impacted should specific trigger events occur (as specified in the contract terms of the issuing company). This may be as a result of the security converting to equities at a discounted share price, the value of the

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The risk indicator assumes you keep the product for 5 years. The risk of the product may be significantly higher if held for less than the recommended holding period. In the UK, please refer to the synthetic risk and reward indicator in the latest available key investor information document.

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